

Multiple Choice (10 marks)

1. Which of the following would shift the aggregate demand curve to the right?
 - (a) An increase in unemployment rates
 - (b) A decrease in government spending
 - (c) A decrease in the supply of money
 - (d) An increase in savings
 - (e) An increase in interest rates
2. Does the principle of comparative advantage apply only to international trade?
 - (a) No, it is a principle that applies only to consumer choice in the market.
 - (b) No, it is only applicable to the exchange of services, not goods.
 - (c) Yes, it specifically applies to trade agreements between neighboring countries.
 - (d) No, it applies wherever productive units have different relative efficiencies.
 - (e) Yes, it only applies to international trade.
3. If Matt's total utility from consuming bratwurst increased at a constant rate, no matter how many bratwurst Matt consumed, what would Matt's demand curve for bratwurst look like?
 - (a) Linearly increasing
 - (b) Inverted U-shape
 - (c) Horizontal
 - (d) Upward sloping
 - (e) Vertical
4. The aggregate demand curve is
 - (a) not found by adding product demand curves horizontally or vertically
 - (b) a vertical summation of market demand curves
 - (c) found by adding product demand curves both horizontally and vertically
 - (d) a horizontal subtraction of firm demand curves
 - (e) a simple aggregation of demand curves for individual goods
5. What school of economists defended Say's Law? Which pro-minent economist disputed this theory?
 - (a) Chicago school, Stiglitz

- (b) Marxist school, Minsky
- (c) Behavioral school, Akerlof
- (d) Neoclassical school, Friedman
- (e) Neoclassical school, Coase

True / False (10 marks)

Answer True or False

6. True or False: Recovery from a recession, such as the American recession of 1974-75, is often classified as economic reformation.
7. True or False: The economic growth from 1990 to 2000, based on real GDP per capita, was 75 percent.
8. True or False: A perfectly competitive firm will continue to operate as long as the price exceeds average total cost, regardless of variable costs.
9. True or False: Classical analysis suggests that increasing government spending is the primary means to restore full employment during a recession.
10. True or False: Marginal cost always intersects average variable cost at the profit-maximizing quantity of output.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the role of money as a unit of account, using \$1.25 as the price of a 20-ounce bottle of pop to illustrate its function in facilitating economic transactions.
12. Discuss the conditions under which marginal cost equals average variable cost and average total cost, and analyze the implications of these intersections on production decisions.

End of Paper